

Firms like RedSeer, Frost & Sullivan, Technopak, TeamLease and Cushman & Wakefield, among others, have prepared industry reports that have been used by IPO-bound companies in their DRHPs.

“The regulator has been receiving a lot of complaints regarding the correctness of the information that is mentioned as part of the findings of the report. This is typically included in the ‘Industry Overview’ section of the DRHP,” says a person familiar with the matter, requesting anonymity. “Moreover, the company that commissions these reports, provides disclaimers that it has not independently verified the data. One needs to remember that strictness comes only after the failure of the unwritten laws,” he adds. Sebi is of the view that both merchant bankers and the company have to take responsibility of all content in the DRHP, as investors make investment decisions based on the disclosures made in the prospectus. “Sebi wants merchant bankers and the company to ensure that the ‘Industry Overview’ section presents a fair picture of the sector and the company without any exaggeration,” says the person quoted above.

An email query sent to Sebi remained unanswered till the time of going to press.

Experts, meanwhile, believe that the regulator’s intention is to increase the reliability of the content of the DRHP so that the trust level of investors is not compromised. “Of late, there has been a lot of regulatory focus on the role of the issuer and the merchant bankers when it comes to providing industry data in the offer documents,” says Manshoor Nazki, Partner at law firm IndusLaw. “Sebi’s expectation seems to be that independent diligence should be undertaken for such information, and the merchant banker and issuer should not blindly rely on the data given in such reports,” he adds.

IT’S SERIOUS BUSINESS

Many of the high-profile IPOs that hit the market during 2021 and 2022—when a cumulative ₹1.78 lakh crore was raised through public issues—are currently



CONFLICTING INTERESTS

1

IPO-BOUND COMPANIES COMMISSION INDUSTRY REPORTS

2

FINDINGS OF THESE REPORTS ARE USED EXTENSIVELY IN IPO DOCUMENTS (DRHPs)

3

SUCH REPORTS ALWAYS ESTIMATE STRONG POTENTIAL FOR THE SECTOR AND THE COMPANY

4

DISCLAIMERS IN DRHPs STATE THAT ACCURACY, RELIABILITY OF REPORTS ARE NOT ASSURED

5

ESTIMATES ARE NOT INDEPENDENTLY VERIFIED BY COMPANY AND MERCHANT BANKERS

trading significantly below their issue prices (see chart ‘Under Pressure’).

To be fair, stock performance is subject to many external factors, including the overall sentiment of the stock markets. But a look at the draft documents of these firms would make one believe that there is infinite scope of growth for them, and the sectors they belong to are also set for exponential growth. Such estimates and forecasts are based on these industry reports and it is a fact that many investors base their investment decisions on these.

Take, for instance, the DRHP of Zomato. As per the estimates of the industry report mentioned in the document, the foodtech major had consistently gained market share over the past four years to become the sector leader. It was also stated that the overall market size would grow from \$65 billion in 2019 to \$110 billion by 2025. But then there was a disclaimer: the accuracy of the data is not guaranteed, estimates could fluctuate.

It’s not an isolated case. As per the industry report commissioned by digital payments platform Paytm, “overall digital commerce (including e-commerce, e-recharges and bill payments) in India is expected to grow over 3.3 times in the next five years to more than \$300 billion in FY26 from \$90 billion in FY21”. And the number of unique merchants using QR codes is expected to jump to 55-60 billion in FY26 from 30-35 million in FY21. Further, Paytm has the highest QR code coverage amongst merchants, it said. But despite the good outlook in the DRHP, shares of Zomato and Paytm have lost 53 per cent and 72.26 per cent, respectively—as of January 12, 2023—since their debut on the bourses.

New-age or old economy, the draft documents of all companies have such industry reports: a bullish undertone and with a disclaimer to hedge their risks.

Mahavir Lunawat, MD of Pantomath Capital Advisors, a mid-market investment banking firm, is of the view that each disclosure in the DRHP should be given the same level of seriousness as

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